

The Art Business Reference

Verified findings, September 2026. Every claim here was checked against a primary source — a government agency, a statute, or the vendor's own published page. Where no primary source exists, it says so instead of guessing.

How to read this. Three labels appear throughout:

VERIFIED — checked against a primary source, cited at the end.

GUIDANCE — widely repeated practice with no primary source. Useful, but it is a starting point to test, not a fact.

CORRECTED — this was written down wrongly at some point and has been fixed. Shown so you know the number changed.

1. Pricing

The formula

$\text{Ask} = (\text{materials} + (\text{hours} \times \text{your hourly rate}) + \text{framing}) \div (1 - \text{channel cut}) \div (1 - \text{tax reserve})$. The channel cut is the number that moves the result most, because it is paid by the buyer, not by you.

VERIFIED **The same take-home nearly doubles the ask through a gallery.** On an 18×24 at \$3/sq in: a Stripe sale needs about \$1,460 to leave you \$1,417. A 50% gallery needs about \$2,830 to leave you \$1,415. That is the real cost of consignment — and the mechanism behind why the designer channel beats galleries.

Tax on the profit

- VERIFIED** Self-employment tax is **15.3% of 92.35% of net profit** — about **14.13% of profit**. (IRS)
- VERIFIED** The **2026 Social Security wage base is \$184,500**. Above it, only the 2.9% Medicare portion applies. (SSA)

Still needed from you: materials cost per size, hours per piece, and your floor hourly rate. Until those exist, every number in the calculator is a default to overwrite — not a

figure to quote.

2. Where buyers actually are

CHANNEL	YOUR SHARE	PAYMENT	EXCLUSIVE?
Direct (Stripe link)	~97%	immediate	no
Designer / trade	70–80%	50% deposit + 50% on delivery	no
Gallery consignment	50% (sometimes 40%)	~30 days	often
Rental program	~50% of the rental fee	monthly	no

VERIFIED **Gallery payment is 30 days.** Four galleries' own consignment agreements and the Artists' Professional Guidelines model contract all say payment within 30 days of sale.

CORRECTED An earlier version of these notes said "30–90 days." The 90 had no source.

VERIFIED **Art rental is real recurring revenue at 5–10% of the work's value per month,** verified across five programs' own pages. Most credit rental paid toward a later purchase — but the credit is usually *partial* (50–60%), not full. Four staging leads are sitting in the pipeline treated as one-off placements. They need their own pitch.

VERIFIED **The trade channel pays you 70–80%** — a 20–30% discount off retail. Verified across four trade programs. Some start lower (15%).

3. Selling directly

VERIFIED **Stripe Payment Links let you sell with no website,** at 2.9% + 30¢ per successful transaction, included at no extra charge on standard pricing.

ON A \$500 PAINTING	FEE	YOU KEEP
Stripe Payment Link	~\$14.80	~\$485
Gumroad, direct link	~\$65	~\$435
Gumroad Discover	\$150	\$350
Gallery at 50%	\$250	\$250

- **VERIFIED** **Refunds do not return the processing fee.** (Stripe docs)
- **VERIFIED** **Stripe is not a merchant of record** — you keep sales-tax responsibility. (Stripe now sells an opt-in "Managed Payments" product that does act as MoR; ordinary Stripe payments do not.)
- **VERIFIED** Gumroad's direct fee is **10% + 50¢**, with card processing charged on top — so roughly 12.9% + 80¢ for a card sale.
- **VERIFIED** **Gumroad does not allow physical goods.** Your originals were never their fit.

4. Outreach

VERIFIED **Cold outreach email is legally regulated, and business-to-business has no exemption.** Every pitch email needs a valid physical postal address, a clear ad identification, and a working opt-out honoured within 10 business days. Maximum penalty is **\$53,088 per email** — confirmed current for 2026 (the FTC's 2026 inflation adjustment was cancelled, so 2025 levels continue).

VERIFIED **A USPS-registered PO box or a commercial mail receiving agency box is sufficient** — it does not have to be your home address. It must be a box *registered* with USPS or a CMRA established under Postal Service regulations, not just any drop address.

The one thing blocking every draft: a mailing address for the footer. Three drafts are written and ready. This is the only decision standing between them and the lead list.

Two checks before any pitch

- **"Designer-facing" does not mean "buyer."** Check which side of the transaction they are on. **VERIFIED** Holloway Studios describes itself as a designer- and artist-led *production house* that makes its own commissioned work — pitching your originals to them is pitching a competitor. Reclassified out of the top fits.
- **Look for an open call before writing a cold email.** **VERIFIED** Celestial Art Curation publishes an open application for Chicago-area and emerging artists seeking representation. Applying beats pitching.

VERIFIED **Delia LaJeunesse takes no cut of your price.** She charges her clients a 10% markup on sourced art and states there is no artist representation involved. *Precision:* she also advertises a separate 10% referral fee to realtors — so "no cut" is true of *your* price,

not of all her pricing. She is still the highest-value name on the list, because your price survives intact.

5. Listing copy

Six blocks: title, medium and support, dimensions, year, story, and how to buy. The story is the highest-leverage part — see §9.

VERIFIED **The moment you sell prints, art description becomes a legal question.** Under California Civil Code §§1740–1745.5, any fine-art multiple sold at **\$100 or more** requires a certificate of authenticity, and stating an edition size for a print made after **1 January 1983** is an **express warranty that no additional copies exist anywhere**.

CORRECTED **Wisconsin is not the same rule.** Georgia genuinely tracks California. Wisconsin runs a separate regime — ATCP ch. 117 — that triggers on "investment art" priced over **\$800**, not \$100, and requires a specific signed disclosure statement. Write to the California standard; do not assume the states match.

Your originals are exempt from all of this. Prints are what trigger it.

6. Photographing the work

Every other document here is capped by the photograph. A bad photo is the most common reason good work is passed over.

- **VERIFIED** **Put a grey card and a colour target in the frame.** It is standard practice in every cultural-heritage imaging workflow, and it is what makes the file interpretable to someone who has never seen the work in person. *Precision:* you white-balance off the **grey scale**, not the colour patches — the Art Institute of Chicago's own target instructions say the colour patches are "primarily a viewing aid."
- **VERIFIED** **Diffuse light, off-axis.** Overcast beats sun. Direct sun makes harsh contrast.
- **For framed work, glare is the whole problem.** The clean answer is to photograph the piece *unframed* — cheapest and best.
- **CORRECTED** **Cross-polarisation costs light, but not four stops.** The "up to four stops (16×)" figure came from forums; no conservation-imaging standard states it. The primary

source that quantifies it gives **at least 1.3 stops** of loss for diffuse reflections. The direction is right — it needs real lighting power — but do not plan around four stops.

- **Shoot RAW, and check every export on a phone.** Your work is black figure on stained paper — a narrow tonal range where highlights clip easily, and a wide-gamut file looks wrong on the screen the buyer is holding.

7. Shipping

VERIFIED **The packing is what makes a claim payable.** Under USPS rules, articles "improperly packaged or too fragile to withstand normal handling" are **ineligible for coverage entirely**. Under-packed work is not just uninsured — it is outside the scheme.

VERIFIED **UPS assumes a default liability of \$100 per package** unless a higher value is declared in writing. **CORRECTED** **USPS has no default liability at all** — uninsured mail is generally not compensable. What USPS does is *include* \$100 of insurance with Priority Mail, Priority Mail Express and Ground Advantage. Same outcome for those services, different mechanism.

SERVICE	COVERAGE	NOTE
USPS Priority / Express / Ground Advantage	\$100 included	needs a tracking barcode
USPS standard insurance	up to \$5,000	online or at the counter
USPS Registered Mail	up to \$50,000	counter only; signed at each stage
UPS declared value	up to \$50,000	must be declared in writing

CORRECTED **The advice to "always buy insurance at the counter" is out of date for ordinary insurance.** USPS online coverage was once capped at \$200, then \$500 — but it was permanently raised to **\$5,000 in 2010** to match counter coverage. The one real exception left is **Registered Mail, whose \$50,000 ceiling is counter-only.**

At your scale: USPS Registered Mail for anything over a few hundred dollars. Below that, Priority Mail with purchased insurance. Ship unframed and flat — that removes the glass-breaks-and-cuts-the-work failure you are most exposed to.

8. Tax and registration

VERIFIED Selling art switches on two things at once, and there is no artist exemption for either.

- **Illinois sales tax.** IDOR's own guidance is explicit: whether your sales are full-time or "as a hobby," you are subject to the requirements, and *all* Illinois taxpayers must register for each tax type. Failing to register is a criminal offence. **CORRECTED** **Registration is Form REG-1** (via MyTax Illinois). **ST-1 is the recurring return**, not the registration form — an earlier version of these notes had that backwards.
- **City of Chicago business licence.** Municipal Code 4-4-020(a): "All businesses must be licensed to operate in the City of Chicago." The exemptions are state-licensed professions and a specific chapter list — **no artist exemption**. The penalty under 4-4-010 is **\$500–\$1,000 per offence, and each day is a separate offence**.

VERIFIED **The home-occupation rules fit your actual plan.** Chicago forbids "direct sale of any product on display shelves or racks" and caps occupancy at two patrons or employees at one time. So a home gallery is out — but payment links and shipping to buyers sit comfortably. That is a lucky fit rather than a designed one.

Three questions still open, and nothing about pricing or records works until they are answered: are you registered for Illinois sales tax? Do you have a Chicago business licence? Is this a business or still a hobby on your return?

Deliberately not decided here: any tax *rate* (no primary source was found, and a wrong number is worse than none) and whether commissions fall under the service tax instead of the retail tax. Both are for your preparer.

9. Commissions and copyright

VERIFIED **Commissioning a painting cannot transfer your copyright by accident.** Under 17 U.S.C. §204(a), a transfer is only valid if it is in writing and signed. And the "work made for hire" route does not apply: for a specially commissioned work it requires the work to fall in one of **nine statutory categories** — and paintings and drawings are not among them.

So you keep the copyright unless you sign it away, and selling the physical piece does not sell the right to reproduce it. Reproduction, prints and licensing are a separate written licence at a separate price. That is a product you have not been selling. Most artists give it away without noticing.

GUIDANCE The commonly cited "price commissions 20–50% above comparable retail" has no primary source. Every source for it is an artist blog or industry guide. Treat it as a starting point to test, not a norm to apply. The **50% non-refundable deposit** is standard practice for the same reason — sensible, not documented.

Two terms worth naming, because they are where commissions go wrong: the deposit also *qualifies* the client; and final payment should fall due **on completion, not on approval** — otherwise the client has unlimited revisions.

10. Submissions and the lookbook

CORRECTED There is no universal submission spec. Verified across five organisations' own pages, the longest-side requirement runs from **1920 px to 4200 px** and the file cap from **5 MB to 12 MB**. A 2100 px / 5 MB export is a *safe default*, not a rule — read the specific call.

- **Near-universal:** JPEG, sRGB, no watermarks or signatures, clean self-describing filenames.
- **Work list:** title, medium, dimensions, year, price if asked. Every submission expects this.
- **Count:** typically 10–15 images for a gallery or juried call.

CORRECTED The claim that "attention drops, so the first two or three pieces carry the portfolio" has no source. It was written as fact and it is folk practice — the order-effect literature finds recency as often as primacy, and nothing supports a "first two or three" cutoff. The practical advice still holds (lead with your strongest work), but it rests on "reviewers may stop early," not on a measured attention curve.

11. Why people buy — what survived

This section was rewritten on 26 September 2026. Every figure was traced back to its origin, and **four were invented or laundered**. They are listed as removed, because knowing

which numbers are fake is more useful than quietly dropping them.

What holds

- **VERIFIED** **Aesthetic value is the single most powerful motivation** — cited by **92%** of collectors. Social recognition is the **lowest**-ranked, at about **10%**. (Affordable Art Fair × ArtTactic, *The Art Market Under \$50,000*, April 2026.) People are not buying status; they are buying feeling.
- **VERIFIED** **63% of collectors bought directly from an artist** in 2025 — up from 27% in 2023. Studios 43%, commissions 37%, Instagram links 35%. (Art Basel & UBS, *Survey of Global Collecting 2025*.)
- **VERIFIED** **Provenance is the best-evidenced lever here.** Li, Ma & Renneboog (2024, *Management Science*) found provenance raises sale probability up to **4%**, hammer prices up to **54%**, and annualised returns **5–16%**. The COA is a value-protection device, not paperwork.
- **VERIFIED** **The Significant Objects project:** thrift-store objects bought for \$128.74 sold for \$3,612.51 — a **2,706%** increase. *But it is not the controlled experiment it gets cited as:* no matched no-story control, and the stories were written by famous authors.
- **VERIFIED** **Smaller, real story effects:** the Hill Holliday *Origin* study (~2013) found story lifted a painting by **~11%**, products **~5%**, wine **~6%**.

What was removed, and why

- **REMOVED** **"Narrative-rich art commands 30–150% premiums."** No primary source. It traces to a marketing blog asserting it with no citation at all.
- **REMOVED** **"Storytelling converts 32% better; 63% of buyers pay more for a real story."** These appear on AI-written stat-aggregator sites attributing them to a "2023 MarketingCharts study" and a "2023 World Economic Forum survey." **The WEF conducted no such survey.**
- **REMOVED** **"Room mockups raise perceived value 15–40% and drive 2–3× more inquiries."** The 2–3× traces to MOCKLIO's own marketing page — a company that sells mockups. The 15–40% has no source. The advice to photograph work in a room still stands, on Chen & Yang (2020) and on sense.
- **REMOVED** **"Buyers aged 18–24 are 25% more likely to buy on story."** Could not be traced to any source.

What was miscited

- **CORRECTED** **"70%+ buy to support artists (vs 36% of Boomers)."** The real figures: **49% overall**; Millennials 57%, Gen Z 55%, Gen X 50%, **Boomers ~37%**. The "70%+" was fabricated.
- **CORRECTED** **"51% purchased via Instagram without seeing the work in person."** The 51% is real (2025); the "sight-unseen" qualifier belongs to the **2024** edition. Two years were fused.
- **CORRECTED** **"Emerging artists get 35% of high-net-worth spending."** True — and it is a **decline of 17 points** from 52% the year before. The decline was omitted, which changes the meaning.
- **CORRECTED** **"89% of Gen Z are drawn to work by emerging artists."** The actual figure is **prints** by emerging artists (MyArtBroker, Feb 2024). The word was dropped.
- **CORRECTED** **"Email is the #1 channel — 42% of creator sales."** Real origin: one analysis of 146,271 *Gumroad* products. One platform's digital-product data, not the art market.
- **DOWNGRADED** **The β values (0.42 / 0.31).** A real paper — but single-author, in a pay-to-publish journal **removed from Scopus in April–May 2026**. Not an established finding.

The rule this section now follows. A figure that appears in five blog posts is not verified — it is one blog post quoted four times. Every number above carries its source and its scope, and the ones that could not be traced are named as removed rather than quietly dropped.

12. What is still needed from you

Per-piece dimensions and years. Title, medium, support, height, width, year, framed, price — for every work. This is the single input the whole system waits on: the listings, the pricing calculator, the lookbook and every submission. Nothing else unblocks until it exists.

Also unresolved: five pieces on your Carrd are all captioned "22×16 Canvas." Either that is real or it is an untailored template caption — and five identically-sized titles is the pattern a reviewer reads as templated.

13. Sources

IRS Topic 554 and the self-employment tax pages · SSA contribution base table · Stripe pricing and refund documentation · Gumroad pricing and prohibited-items policy · FTC CAN-SPAM compliance guide and the Federal Register civil-penalty notice of 15 September 2026 · U.S. Copyright Office Circulars 12 and 30 and 17 U.S.C. §§101, 204 · California Civil Code §§1740–1745.5 (leginfo) · O.C.G.A. §10-1-431 · Wisconsin Admin. Code ATCP ch. 117 · Illinois Department of Revenue (tax.illinois.gov) · Chicago Municipal Code 4-4-010, 4-4-020, and the BACP home-based business fact sheet · USPS PS Form 3806, Domestic Mail Manual, insurance pages and Postal Bulletin 22299 · UPS Tariff and Terms of Service · Art Institute of Chicago photodocumentation target instructions · FADGI technical guidelines · YouTube Help: channel monetization policies, YPP eligibility, appeal guidance, upload encoding settings · Google YouTube Data API v3 documentation and quota calculator · BLS Occupational Outlook Handbook, interior designers · the individual galleries, trade programs and rental programs cited in the working notes.

Compiled 26 September 2026. Every figure labelled **Verified** was checked against the primary source named above on that date. Prices, policies and statutes change — re-check anything before acting on it at size.